

Salary Increments

User Guide

Access Limited Distribution

People Management

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Document Control

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1. Introduction

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how salary increments are managed on XD People Management.

1.2. What is the Increment Process?

This process is used to automatically create a new salary record for an employee, which moves them to the next point on their pay scale.

This is applicable only to employees who have a “Pay Scale” salary. Increments cannot automatically be created for “Personal” rate salaries.

This process removes the requirement to manually create a salary amendment for standard annual / periodic salary increments:

- This can happen for all / a group of employees in an organisation on one common date in a year.
- This may be applied on a date specific to the employee’s Post Appointment e.g. 12 months from the Commenced Date, or on turning 18 etc.

It is typical to define a set number of days in advance to process the increment due date e.g. 30 days. This means that when the process runs each day, it will look for any *Increment Due Dates* in the next 30 days and create the required salary amendment.

For example:

- On 1st August 2015, Mary was setup as a new hire and her salary was created on that date as Point 1 of Grade 5 i.e. £35,000
- Mary is entitled to an annual increment to the next available Point on Grade 5, 12 months from her start date.
- An *Increment Due Date* of 1st August 2016 is recorded for her salary.
- On 2nd July 2016, a new line of salary is created for Mary on Point 2 of Grade 5, increasing her salary to £37,500, effective as of 1st Aug 2016.

1.3. Key Increment Attributes

Attribute	Description
Increment Due Date	The date that the increment is due to be applied to the contract salary record.
Increment System Job	The daily system process that: • Reviews all employees' <i>Increment Due Dates</i>. • Creates a new salary record relevant to the pay scale point increment rules. • Generates a new <i>Increment Due Date</i> for the employees' salaries.
On Hold Indicator	This indicator ensures that the <i>Increment System Job</i> does not process as expected for the employee on their <i>Increment Due Date</i> . The salary will be processed once the <i>On Hold Indicator</i> has been disabled.

1.4. Pay Scale Point Increment Rules

Each organisation can define the increment rules for their pay scales on CoreHR. These rules are defined per Pay Scale Point and include elements such as:

- The next point available.
- The progression Pay Scale & Point to be used when the maximum point has been reached on the current Pay Scale.
- The length of time on point (if different to the standard 12 months).
- Bar points to stop an employee from incrementing beyond that point.
- Age restrictions on progression to the next point.



Note: Pay Scale Point configuration is covered as part of the **Configuring Pay Scale Reference Data** user guide.

1.5. Salary Approvals & Increments

The increment process can operate independently of the Salary Approval process that is in place to control the creation of regular salary and allowance records.

This implies that Increments can:

- Be created without any approval required i.e. automatically “Approved”.
- Be created with an ‘increment-specific’ approval process defined.

It is particularly common for increments to be generated without approval where all / a large group of employees are due to increment on the same date on a regular basis. In this case, the *On Hold Indicator* may be used to provide additional control where necessary.



Note: Please refer to the **Configuring HR Increments** user guide for details on how to enable / disable approvals for the increment process.

2. Managing Increments

2.1. Managing the Increment Due Date

2.1.1. Viewing the Increment Due Date

The *Increment Due Date* is captured on the employee's current salary, per contract. That implies that if the employee has multiple contracts and salaries, then you can manage the *Increment Due Date* for each separately.

This is not a mandatory element for the salary. Therefore, if an employee is not due to receive an incremental salary amendment, this field can be left blank for any of the contracts for the employee.

To access the 'Increment Due Date':

1. On the *Current Salary* screen, there are 2 increment specific elements:
 - **Next Increment Due Date:** This will display the *Next Increment Due* date if there is one captured for the employee. If there is none captured, this will not display.

Accountant [dropdown] Start Date 18-Feb-2018 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Current Salary

Current Salary £42,000.00 Including Allowances £43,680.00 **Next Increment Due 25-Feb-2020** Paygroup 1005 - Focus Payroll [TIMELINE VIEW](#)

Salary History

Exclude Rate History [dropdown] [ADD](#)

Start Date	Rate Effective	Pay Scale / G...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status	Reason
25-Feb-2019	01-Jan-1990	Grade 2	2	Annual	£42,000.00	1	£42,000.00	Approved	Annual Sala...
18-Feb-2018	01-Jan-1990	Grade 2	1	Annual	£40,000.00	1	£40,000.00	Approved	Hire

- **Increment History:** This tab provides access to the *Increment History* screen.

2. Click the **Increment History** tab.

3. This screen provides the option to:

- Add a new *Increment Due Date*.
- View a history of all *Increment Due Date* actions on the system.
- Update the **On Hold** indicator for the next *Increment Due Date*.

Accountant Start Date 18-Feb-2018 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Next Increment

Increment Due Date	Comments	On Hold
25-Feb-2020	Annual increment	☐

Increment History

ADD

Increment Due Date	Comments	Date / Time Created	Created By	
25-Feb-2020	Annual increment	25-Feb-2019 15:57	Alice Jones	DELETE

1 - 1 of 1 < >

2.1.2. Add a New 'Increment Due Date'

To add a new 'Increment Due Date':

1. Click **Add** to open the *Add Increment History* screen.

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Accountant ▼ Start Date 18-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances **Increment History**

Next Increment

Increment Due Date Comments On Hold ☐

Increment History

Increment Due Date Comments Date / Time Created Created By

ADD

- Enter the date in the *Increment Due Date* field.
- Add *Comments* (max 100 characters). This is not mandatory.
- Click **OK** to save.

Add Increment History

Increment Due Date
18-Feb-2020

Comments
Annual increment as per contract ter...

CANCEL OK

- The new increment will display on screen including:
 - Increment Due Date* i.e. the actual date saved.
 - Comments* supplied when saving the new date.
 - Date/Time Created*: Automatically recorded with the date has been saved.
 - Created By*: The user that created the Increment Due Date.
 - This will display the employee name for the CorePortal user that completed the action

- This will display “CoreHR” if the date was created automatically as part of the Increment Process (see [2.2.3 Generation of a New Increment Due Date](#))

Accountant ▼ Start Date 18-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Next Increment

Increment Due Date	Comments	On Hold
18-Feb-2020	Annual increment as per contract terms	☐

Increment History

Increment Due Date	Comments	Date / Time Created	Created By	
18-Feb-2020	Annual increment as per contract ...	25-Feb-2019 16:07	Alice Jones	DELETE

1 - 1 of 1 < >

3. Apply the **On Hold** indicator if necessary.

This is not mandatory.

- As long as this is active, the increment will not be processed when the due date elapses.
- If this is updated, it is saved immediately.
- No need to click **Save**.

4. Return to the *Current Salary* screen, note that the *Next Increment Due* field is populated with the next date.

Accountant ▼ Start Date 18-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Current Salary

Current Salary Awaiting Appro... Including Allowances Awaiting ... **Next Increment Due 18-Feb-2020** Paygroup 1005 - Focus Payroll [TIMELINE VIEW](#)

Salary History

Exclude Rate History ▼ [ADD](#)

Start Date	Rate Effective	Pa...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status
18-Feb-2019	01-Jan-1990	Gr...	2	Annual	£30,000.00	1	£30,000.00	Pending

2.1.3. Delete an Increment Due Date

Deleting an *Increment Due Date* ensures that the salary will not be increment on that date.

To do this:

1. Go to the *Current Salary* screen.
2. Select the **Increment History** tab.
3. Click the **Delete** button for the required row.
4. Click **Yes** on the confirmation prompt.
5. The date is now deleted and will no longer appear on the *Current Salary* screen.

Accountant ▼ Start Date 18-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances **Increment History**

Next Increment

Increment Due Date	Comments	On Hold
18-Feb-2020	Annual increment as per contract terms	☐

Increment History

Increment Due Date	Comments	Date / Time Created	Created By	
18-Feb-2020	Annual increment as per contract ...	25-Feb-2019 16:07	Alice Jones	DELETE

1 - 1 of 1 < >

2.2. Generation of an Incremented Salary Amendment

2.2.1. The Daily Increment Process

The CoreHR system runs a process every day to check for any increments that are due to be applied and automatically creates the corresponding salary amendment.

It is possible to define a set number of days that the increment process will look forward to e.g. 30 days. When the process runs each day, it will look for any increment due dates that are:

- within the next 30 days
 - i.e. if the process is running on 2nd July 2019, it is looking for any increments that have an *Increment Due Date* of up to 1st Aug 2019
 - Please note: the number of days is configurable per organisation.
- earlier than today and have not been processed
 - e.g. if the process is running on 1st Jul 2019 and it finds a salary with an 'Increment Due Date' of 10th June 2019.
 - This may be due to the fact that the date was entered at a late stage or perhaps the *On Hold* indicator was applied and then removed.

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When this process runs, it will skip any salary records where:

- *Increment Due Date* is blank.
- *Increment Due Date* is after the set number of days i.e. >30 days away.
- *Increment Due Date* is today or earlier BUT the *On Hold* indicator is activated.

The process will also take into consideration any rules that have been set for the employee's current Pay Scale Point and will only process the salary if there are no restrictions specified. Please refer to [1.4 Pay Scale Point Increment Rules](#) for further examples of the types of rules).

2.2.2. Identifying Incremented Salaries

This process is handled in the background and runs every day without the requirement you to have any input. The output of the process is the newly created salary amendment for the employee's contract. Salary amendments that have been created by this process are available in the same way as any other salary amendment i.e. these will be displayed on the *Current Salary* screen for the employee's contract.

Salary amendments created via the Increment Process will be flagged with a *Reason* of "Increment".

Training Manager Start Date 02-Jan-2018 End Date 08-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Current Salary

Current Salary £15,000.00 Including Allowances £15,000.00 Next Increment Due 02-Jan-2020 Paygroup 1001 - Monthly Payroll 1 [TIMELINE VIEW](#)

Salary History

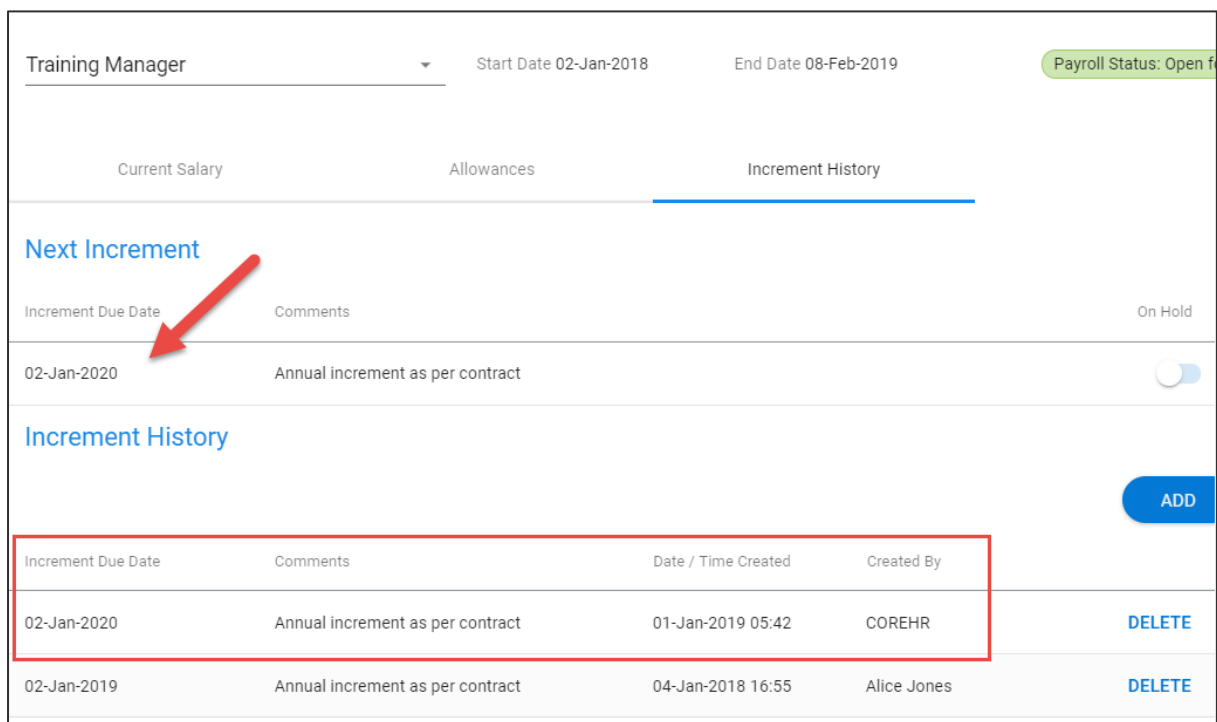
Exclude Rate History [ADD](#)

Start Date	Rate Effective	Pay Scale / Grade	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status	Reason
02-Jan-2019	01-Jan-1990	Grade 1	2	Annual	£30,000.00	.5	£15,000.00	Approved	INCREMENT
02-Jan-2018	01-Jan-1990	Grade 1	1	Annual	£28,000.00	.5	£14,000.00	Approved	Rehire

2.2.3. Generation of a New Increment Due Date

The final step in the process for each salary is to update the *Increment Due Date* on the salary record. This will be updated, taking into consideration the Pay Scale Point rules i.e. if *Increment Due Date* just processed was the 1st July 2017, then the date may be updated as follows:

- A new date will be created as standard as today + 12 months i.e. 1st Jul 2018.
- If a 'long service indicator' exists for the new Pay Scale Point e.g. 3 years, then the new date will be calculated as 1st Jul 2020.
- If the employee is at the top of their scale and there are no further points to progress to, a new increment date will not be set.



Training Manager Start Date 02-Jan-2018 End Date 08-Feb-2019 Payroll Status: Open f

Current Salary Allowances Increment History

Next Increment

Increment Due Date	Comments	On Hold
02-Jan-2020	Annual increment as per contract	☐

Increment History

ADD

Increment Due Date	Comments	Date / Time Created	Created By	
02-Jan-2020	Annual increment as per contract	01-Jan-2019 05:42	COREHR	DELETE
02-Jan-2019	Annual increment as per contract	04-Jan-2018 16:55	Alice Jones	DELETE

2.2.4. Increment Hold Indicator

If the **On Hold** indicator is activated for the employee's current salary, this means that when the daily increment process runs, it will skip this record. The incremented salary amendment will not be created for the salary by this process, for as long as that indicator is enabled.

Once the indicator is disabled, the next time the increment process runs, it will process this salary as normal for an increment, if the *Increment Due Date* is the same as the process date or earlier.

2.2.5. Salary Approvals for Increments

Not using Salary Approvals

If Salary Approvals are not in use in your organisation, then they are not applicable for Increments. The new salary will be created as “Approved” and is automatically available to Payroll to process.

Using Salary Approvals

- If Salary Approvals are in use in your organisation, then a salary created by the increment process is still considered to be a salary amendment on CoreHR and is subject to the same Salary Approval process.
- In this case, the new salary line will be created as “Pending” and must be approved by all salary approvers before being flagged as “Approved” and becoming available to Payroll to process.

Bypassing Salary Approvals

- It is possible to configure the application to bypass the Salary Approval process, only for salaries created by the increment process (please refer to the ***Configuring HR Increments*** user guide for details on how this is enabled).
- If this bypass option is enabled, the incremented salary will be created as “Approved” and is automatically available to Payroll to process.
- All other salary amendments (i.e. not created by the increment process) will continue to be created as “Pending” and will require approval.

2.3. Increment History

The *Increment History* section of the screen provides a view of the history of *Increment Due Date* related actions on the system, which are the:

- Input of an *Increment Due Date* by a user.
- Creation of a new *Increment Due Date* by the daily increment process.

Therefore, this screen displays both historical dates and dates in the future that have yet to be processed.

- Dates that have been entered directly by a user display with the date these were entered and the name of the Portal user that entered it.

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- Dates that have been generated by the increment process will display the date these were generated and the *Created By* user will be “CoreHR”.

Training Manager

Start Date 02-Jan-2018

End Date 08-Feb-2019

Payroll Status: Open f

Current Salary

Allowances

Increment History

Next Increment

Increment Due Date	Comments	On Hold
02-Jan-2020	Annual increment as per contract	☐

Increment History

ADD

Increment Due Date	Comments	Date / Time Created	Created By	
02-Jan-2020	Annual increment as per contract	01-Jan-2019 05:42	COREHR	DELETE
02-Jan-2019	Annual increment as per contract	04-Jan-2018 16:55	Alice Jones	DELETE

Note: This screen does not show a history of salary amendments created by the increment process. All salary amendments are available to view on the previous *Current Salary* screen. The *Reason* field will identify any incremented salary amendments.